

CHURN REDUCTION INITIATIVE

Executive Summary

Situation

SupportPulse is experiencing a **22.50% customer churn rate**, with 27 of 120 customers classified as churned. Customer support experience provides important signals that can help the business identify customers who may be at risk of leaving. The analysis shows that customer satisfaction and repeated support escalations deserve immediate attention.

Key Findings

- **Low customer satisfaction is linked with higher churn:** Customers in the Low CSAT group have a **36.36% churn rate**, compared with **21.05%** among customers with Excellent CSAT.
- **Repeated escalations are a warning signal:** Customers with two escalations have a **36.36% churn rate**, while customers with three escalations have a **50.00% churn rate**.
- **Churn has a measurable revenue impact:** The transaction data records **\$1,750** in revenue associated with customers classified as churned.

Business Risks

- **Revenue Loss:** Churned customers represent **\$1,750** in recorded transaction revenue. Continued churn will reduce revenue from existing customers.
- **Customer Experience Risk:** The Low-CSAT segment has a **36.36% churn rate**, indicating that dissatisfied customers require earlier intervention.
- **Support Escalation Risk:** Customers with multiple escalations show higher churn rates. If recurring issues remain unresolved, customers may become more likely to leave.

Recommendations

1. **Launch proactive follow-up for Low-CSAT customers.** Support and Customer Success teams should review low-CSAT customers and contact them proactively within **2 weeks**.
2. **Create an escalation-based risk alert.** Customers with **two or more escalations** should be flagged for Support Manager review within **2 weeks**.
3. **Improve historical support-time tracking.** Continue collecting response and resolution-time data and review it against churn over the next **30–90 days**.

Decision Needed

Approve the implementation of **Low-CSAT and repeated-escalation customer alerts** and assign the Support Manager and Customer Success teams responsibility for follow-up.

Next Steps

- **Support Manager:** Define Low-CSAT and escalation alert rules within 1 week.
- **Customer Success Team:** Begin proactive customer follow-ups within 2 weeks.
- **Analytics Team:** Continue tracking support and churn metrics and provide a review after 30–90 days.